

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DCCED

Date: 5/22/2026

Bill Number: HB 133

Short Title (as it appears on BASIS): PAYMENT OF CONTRACTS

What action do you recommend the Governor take?

Select one.

☐ SIGN ☒ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

This bill duplicates existing statutory requirements under AS 37.05.285 for purchases of goods and services, and further clarified in 2 AAC 15.115. Existing statute allows for payment of 1.5% interest by request on past due invoices. This legislation requires additional administrative notifications and tracking of payments, and payment of 10% interest on the same invoices, as well as interest on late payments for certain grants (though it could be argued that “goods and services” under the existing statute includes payments for goods and services provided via a grant agreement).

If this bill were enacted, vendors could claim 11.5% in interest payments on late invoices, as neither statute excludes the other.

Funding for late payments would have to be paid from existing department appropriations. In all cases for DCCED, funding does not exist to make interest payments and so would instead require further constriction of services provided by the department. In many cases, grants are made from specific, limited funding sources that either cannot be used for penalties for late payments – like federal funds – or that are not sufficient to make additional interest or penalty payments, like entitlement or pass through funds.

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What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

This bill amends portions of the State Procurement Code and the Fiscal Procedures Act and establishes a 45-day payment provision for State contracts, grants, and reimbursement agreements. It also sets a requirement to pay interest to the contractor if the deadline isn't met. The bill includes delayed effective dates to begin requiring interest payments at 45 days in FY2027, and shorten that timeframe to 30 days beginning in FY2028.

The idea of the bill is positive and is in alignment with the Administration's goal of doing administrative work efficiently and well. However, this legislation is unlikely to generate the improvements that it seeks to achieve. Multiple departments discussed on the record that the potential interest payments to vendors may be less than the cost to pay invoices timely. Multiple public testifiers also spoke to the impact of "late" Community Assistance Program payments. This testimony and discussion revealed a misinterpretation of both the bill and current statute. There is no statutory or regulatory deadline for Community Assistance Payments, and HB 133 explicitly excludes, in Section 5, both the Community Assistance Program and other programs determined by statutory formula from its provisions.

Most of the testimony and conversation focused on ensuring grants from the Department of Health are paid promptly. Rather than targeting this genuine issue with grant and contract payments from one agency, the bill imposes burdensome requirements across all departments.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

- Section 1:** Amends AS 36.30, State Procurement Code, by adding a new section, AS 36.30.970, establishing a **45**-calendar-day deadline for payment to a contractor for satisfactory performance of a contract after the agency receives a payment request from the contractor. It requires the agency to pay interest, equal to the rate set out in AS 45.45.010(a) (10.5% per year), to the contractor if the deadline for payment is not met. This section also establishes procedures on payment or nonpayment to a contractor and defines "contractor."
This section now includes a carveout that AGDC may not charge state agencies interest in interagency agreements.
This section is effective beginning July 1, 2027 (FY2028).
- Section 2:** Amends AS 36.30.970(a) to require payments in **30** days instead of 45 days beginning July 1, 2028 (FY2029).
- Section 3:** Amends AS 36.30.970(b) to require interest payment from the **31st** day beginning July 1, 2028.
- Section 4:** Amends 36.30.970(e) to reflect **30** days instead of 45 days beginning July 1, 2028.

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- Section 5:** Amends AS 36.90, Miscellaneous Provisions, by adding a new section to Article 4, AS 36.90.310, establishing a **45**-calendar-day deadline for the payment of grants and reimbursement agreements to nonprofit organizations, municipalities, and Alaska Native Organizations. It establishes a **45**-calendar-day for payments. It requires the agency to pay interest to the grantee if the deadline for payment is not met. This section also establishes procedures on payment or nonpayment to a grantee and defines “grant,” “Alaska Native organization,” and “nonprofit organization.”
- This section also requires notification of withheld payment within 8 working days to allow remediation.
- This section also includes definitions, which exclude DMVA emergency management and the following from this section that relate to DCCED:
- Grants that are cooperative agreements
 - Grants that are loans
 - Grants that are “state funding that is required annually and is calculated through a formula set in statute”
 - For DCCED, this is at least Community Assistance, and National Forest Receipts, Power Cost Equalization,
 - A grant to a municipality or named recipient under AS 37.05.315 and 37.05.316 (most DCCED outgoing grants fall under these statutes)
- Section 6:** Amends AS 36.90.310(a) to require grant payments within **30** days instead of 45 days beginning July 1, 2028.
- Section 7:** Requires that for payments to nonprofits, municipalities, or Alaska Native organizations that are not made, agencies must pay interest from the **30th** calendar day beginning July 1, 2028.
- Section 8:** Amends AS 39.90.310(e) to require payments of withheld amounts within **30** days of the remedial action, and pay interest on amounts withheld from the **30th** calendar day beginning July 1, 2028.
- Section 9:** Adds a requirement to the Checkbook Online that includes reporting on late payments (whether it was paid **30** days after payment was due) for payments to “persons under a contract or to a nonprofit, municipality, or Alaska Native organization under a grant or reimbursement agreement”.
- Adds a requirement to the Checkbook Online that includes a listing for the prior fiscal year of “payments owed to a person under a contract or to a nonprofit organization, municipality, or Alaska Native organization under a grant or reimbursement agreement that are **30** or more days past due.
- Section 10:** Requires that the Department of Administration update the monthly Checkbook Online reporting to include information on remediated payments under Section 8.
- Section 11:** Requires a report to the legislature from all agencies on the first day of the first session of the 35th Legislative session (January 2027) that is a status update on late payments.
- Section 12:** Applies the law to all new and renewed contracts after 7/1/2027 (effective date of Section 5).
- Section 13:** Section 11 (reporting) has an immediate effective date under AS 01.10.070(c).
- Section 14:** Sections 1 and 5 go into effect 7/1/2027.

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Section 15: Sections 2-4 and 6-8 go into effect 7/1/2028.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

SB 129, sponsored by Senator Kawasaki, was the companion to this bill. The bills were similar through most of session, but HB 133 was amended to remove provisions that were problematic for the department and to add staggered effective dates, among other provisions.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support:

Nils Andreassen, Executive Director, Alaska Municipal League – (907) 586-1325
Laurie Wolf, The Foraker Group – (907) 243-1200
Sam Chanar, Mayor, City of Toksook Bay – (907) 427-7613
Susan Anderson, CEO, Boys & Girls Club of Southcentral Alaska
Trevor Storrs, President & CEO Alaska Children's Trust – (907) 248-767
Stephanie Bushong, Transit Deputy Director, Ketchikan Gateway Borough
Charles Westmoreland, Director of Business and Development, Wostmann and Associates

Letters (in addition to many above):

Patrick FitzGerald, Political Coordinator, Teamsters Local 959 – (907) 751-8599
Alvin D. Osterback, Mayor, Aleutians East Borough – (907) 274-7555
Lisa D.H. Aquino, MHS – CEO, Anchorage Neighborhood Health Center – (907) 743-7200
Marie McCarty, Executive Director, Kachemak Heritage Land Trust – (907) 235-5325
Elizabeth Ripley, President and CEO, Mat-Su Health Foundation – (907) 352-2863
Stephanie Berglund, CEO, thread – (800) 278-3723
Eric Billingsley, President and CEO, United Way of Anchorage
Sander Schijvens, President and CEO, Wostmann & Associates – (907) 586-6167
Bob Sivertsen, Chair, Alaska Commission on Aging, rsivertsen@gmail.com

Opposition:

None raised.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Do not recommend signing. If not vetoed, then let become law without signature.

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DocuSigned by:

Commissioner's Signature: _____ **Date:** 5/26/2026
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I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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